A CLEAR GUIDE TO TAX-AWARE RETIREMENT PLANNING

2026 EDITION

Roth IRA Conversions *Made Simple.*

A practical, visual introduction to the rules, opportunities and conversation points behind a Roth conversion.

READ FIRST. PLAN THOUGHTFULLY. COORDINATE YOUR PROFESSIONALS.

THE BIG PICTURE

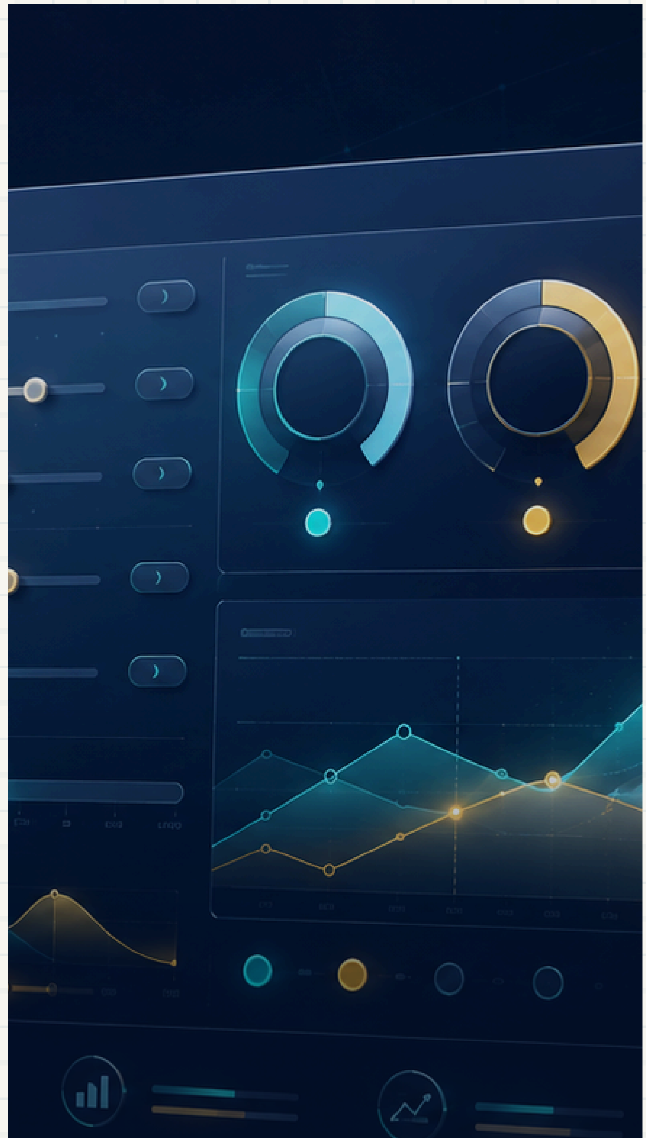
Think of a Roth as a future source of *tax-free flexibility.*

A Roth conversion moves eligible retirement assets from a traditional IRA to a Roth IRA. The amount converted is generally included in current-year income to the extent it has not already been taxed. In exchange, future qualified Roth distributions may be tax-free.

> *“A conversion is not automatically good or bad. It is a tax decision with a long time horizon.”*
>
> The right question is not “Should everyone convert?” It is “Does a conversion fit this year’s income, cash flow, tax outlook and goals?”

CORE DISTINCTION

A conversion differs from a Roth contribution. Contributions have annual limits and income eligibility rules; conversions are separate transactions with different tax mechanics.



FOCUS ON THE FULL PICTURE

Income today. Flexibility tomorrow.

Tax brackets, years to retirement, account mix and the source of conversion-tax payments all matter.

WHY CONSIDER A ROTH?

Three reasons Roth assets can be useful in a retirement plan.

The value is not a guaranteed return. It is a potential improvement in how, when and where you pay taxes.

01

Qualified distributions may be tax-free.

When the applicable Roth rules are met, qualified withdrawals can avoid federal income tax.

02

More control over retirement cash flow.

Roth dollars may give retirees another source of funds when managing taxable income and withdrawals.

03

No lifetime RMDs for the original owner.

Roth IRAs are not subject to lifetime required minimum distributions for the original owner.

THE BASIC TRADE-OFF

Pay known tax now—or leave the tax decision for later?

A traditional IRA generally defers income tax until withdrawal. A Roth conversion generally accelerates tax on the taxable amount today. A thoughtful comparison considers your present marginal rate, possible future withdrawal rates, the time available for growth, and the ability to pay conversion taxes from outside retirement accounts.

Start with purpose—not product.

Potential goals include building tax diversification, managing future withdrawals, reducing future required distributions, or creating more flexibility for heirs. Goals and outcomes vary by person.

QUESTION	TRADITIONAL IRA	ROTH IRA AFTER CONVERSION
When is income tax generally paid?	Generally when taxable distributions are taken.	Generally when the conversion occurs, to the extent amounts were not previously taxed.
Are later qualified distributions federally tax-free?	No.	Yes, if applicable rules are met.
Lifetime RMDs for the original owner?	Generally yes, once required beginning-age rules apply.	No lifetime RMDs for the original Roth IRA owner.

Sources: IRS Publication 590-B (2025) and IRS Roth IRA guidance. See page 8 references.

FOR HIGHER-INCOME SAVERS

The “Backdoor Roth” is a two-step strategy—not a special account.

It is commonly used by people whose income is too high for a direct Roth IRA contribution. The strategy requires careful attention to basis, aggregation rules and year-end balances.

01

Make a nondeductible traditional IRA contribution.

For 2026, the combined traditional-and-Roth IRA contribution limit is $7,500, or $8,600 for eligible individuals age 50 or older. Eligibility also depends on compensation and other IRS rules.

02

Convert eligible IRA assets to a Roth IRA.

There is no income cap on a Roth conversion. However, taxable amounts and the pro-rata rule can change the result substantially.

2026 direct Roth IRA contribution income phase-outs.

Single / Head of Household	Married Filing Jointly	Married Filing Separately
Phase-out range: $153,000–$168,000 MAGI	Phase-out range: $242,000–$252,000 MAGI	Phase-out range: $0–$10,000 MAGI

Source: IRS News Release IR-2025-111 (Nov. 13, 2025). Direct contribution eligibility is separate from conversion eligibility.

IMPORTANT Do not treat the two steps as a do-it-yourself shortcut. Coordinate the transaction and its reporting with your tax professional, particularly if you own any traditional, rollover, SEP or SIMPLE IRA.

THE PRO-RATA RULE

The “cream in coffee” rule: why every IRA may matter.

DO NOT CHERRY-PICK.

The IRS aggregation rules can require a portion of a conversion to be taxable when pre-tax IRA money and after-tax basis coexist.

The key idea

`after-tax basis ÷ total non-Roth IRA pool`

For tax purposes, traditional, rollover, SEP and SIMPLE IRAs are generally considered together when determining the taxable part of a distribution or conversion. Employer plans such as a 401(k) are not included in that IRA aggregation pool.

ILLUSTRATIVE ONLY

A simplified “mixed pot” example.

Pre-tax IRA balance	New after-tax basis	Total IRA pool
$92,500	**$7,500**	**$100,000**

In this illustration, the after-tax basis is only 7.5% of the total IRA pool. A $7,500 conversion would therefore not necessarily be a fully tax-free conversion. The actual tax result depends on the taxpayer’s Form 8606 calculation and facts.

Potential planning conversation: reverse rollover.

If an employer plan accepts rollovers, a taxpayer may be able to move eligible pre-tax IRA assets into that plan. This may affect the IRA aggregation picture. Plan terms, asset eligibility and tax consequences must be reviewed before acting.

Remember the year-end snapshot.

The calculation can be affected by the value of all relevant non-Roth IRAs at year-end, not merely the account used for the conversion. Keep complete records throughout the year.

Source: IRS Publication 590-B (2025), aggregation rules and Form 8606 discussion. Example is educational and ignores investment changes, prior basis and other factors.

TIMING AND TAX IMPACT

A conversion may create income today. Size it deliberately.

A Roth conversion usually increases current-year taxable income by the taxable portion converted. That can affect your federal and state tax picture and, depending on circumstances, other income-based thresholds.

Start with a tax projection. Before converting, estimate taxable income with the planned conversion included. This makes the choice visible rather than emotional and helps prevent avoidable surprises.

Use outside funds thoughtfully. If a conversion is appropriate, paying the associated tax from cash or taxable assets instead of withholding from retirement assets may preserve more dollars inside the Roth. The suitability of this approach depends on liquidity and other priorities.

Consider timing, but do not try to predict perfectly. A market decline may reduce the dollar amount of shares converted, but market conditions alone should not dictate a conversion. Tax planning and investment discipline both matter.

Know the five-year rules. The rules for qualified Roth distributions and early withdrawals are detailed. For individuals under age 59½, each conversion can have a separate five-year period relevant to the 10% additional tax on early distributions.

ROTH LADDER CONCEPT

Retirement “gap” years can be a planning window.

Some retirees explore multi-year conversions between retirement and the start of required distributions. Annual conversion sizes should reflect each year’s tax picture—not a one-size-fits-all target.

Questions to ask before converting.

- What is my estimated marginal tax rate this year versus later?
- Can I pay the tax without drawing from retirement assets?
- Will the conversion affect Medicare, ACA subsidies, deductions or credits?
- How long can the assets remain invested in the Roth?
- Does my estate and beneficiary plan support the strategy?

Sources: IRS Publication 590-B (2025) for Roth distribution and conversion-period rules. Threshold impacts are circumstance-specific and should be modeled by a qualified tax professional.

A 401(k) plan may offer another path to Roth savings.

Some employer retirement plans permit Roth deferrals, after-tax contributions, in-plan Roth conversions, or in-service rollovers. The availability—and the rules—are entirely plan-specific. Ask the plan administrator before assuming an option exists.

MEGA BACKDOOR ROTH

A workplace strategy with a much larger potential scale.

Often called a "Mega Backdoor Roth," this approach may involve making after-tax 401(k) contributions above the regular employee deferral amount, then moving eligible amounts into a Roth account. It is separate from the IRA-based Backdoor Roth strategy and is not available in every plan.

ASK 01
Does the plan permit voluntary after-tax contributions?

ASK 02
Does the plan permit in-plan Roth conversions or in-service rollovers?

ASK 03
How do employer contributions and annual plan limits affect capacity?

$24,500

2026 employee elective-deferral limit for 401(k), 403(b), governmental 457 and TSP plans. Roth and pre-tax deferrals share this limit.

$8,000

General 2026 catch-up limit for many eligible participants age 50 and older. A higher $11,250 catch-up applies to eligible participants ages 60–63.

Source: IRS News Release IR-2025-111 (Nov. 13, 2025). Plan documents govern features and eligibility.

Before you convert, make sure the strategy is complete.

1 Map every relevant IRA.
Identify traditional, rollover, SEP and SIMPLE IRAs in your own name before calculating a Backdoor Roth.

2 Estimate the tax cost.
Model taxable income, federal and state tax effects, and potential threshold interactions before submitting instructions.

3 Review the year-end impact.
Understand how year-end IRA balances can affect the pro-rata calculation and retain current account records.

4 Plan how to pay the tax.
Decide how taxes will be paid and whether using outside funds fits your broader cash-flow plan.

5 File Form 8606 when required.
Form 8606 reports nondeductible IRA contributions and helps determine the taxable part of conversions and distributions.

6 Coordinate the people and paperwork.
Bring your tax preparer, financial professional and plan administrator into the same conversation before acting.

“The goal is not to chase a tax trick. The goal is to build a retirement income plan that gives you choices.”

Important educational notice. This brochure is a general educational overview and is not tax, legal, investment or personalized financial advice. Tax laws, plan features and personal circumstances change. Consult a qualified tax professional and financial professional before making a contribution, rollover or conversion.

Primary references: [1] IRS News Release IR-2025-111, “401(k) limit increases to $24,500 for 2026, IRA limit increases to $7,500” (Nov. 13, 2025), https://www.irs.gov/newsroom/401k-limit-increases-to-24500-for-2026-ira-limit-increases-to-7500. [2] IRS Publication 590-B (2025), Distributions from Individual Retirement Arrangements (IRAs), https://www.irs.gov/publications/p590b. [3] IRS Form 8606, Nondeductible IRAs, https://www.irs.gov/forms-pubs/about-form-8606. [4] IRS Publication 590-A (2025), Contributions to Individual Retirement Arrangements (IRAs), https://www.irs.gov/publications/p590a.